

ESG Decoded

One company, one deep read — environment, social & governance performance analyzed the way a research analyst reads it, not the way a press release writes it.

Infosys Limited

NSE: INFY • BSE: 500209 • IT Services & Consulting

ISSUE NO. 01 | FY 2024–25 FULL ANALYST REPORT



Executive Summary

Infosys continues to demonstrate strong ESG performance, driven by mature governance practices, transparent reporting, and ambitious climate commitments. Environmental progress is supported by sustained renewable-energy adoption and six years of carbon-neutral operations, while governance remains the strongest pillar on the back of independent board oversight and robust ethics policies. The company's primary ESG challenge now lies in reducing Scope 3 emissions and strengthening board-level diversity. Overall, Infosys represents a relatively mature ESG performer within the Indian IT services sector, its next stage of leadership will be defined by execution, not new commitments.



Company Overview

SECTION 01

Headquarters Bengaluru, IN	Market Cap (approx.) ₹6.7–7.0 L Cr
Employees ~3,17,000	Reporting Standard BRSR + GRI
Carbon Status Neutral (6th yr)	Fiscal Year End 31 Mar 2025

ESG MATURITY STAGE

Emerging → Developing → Integrated →
Leading

✓ **Leading**



Environmental Analysis

SECTION 02

Scope 1 Emissions 8,745 tCO₂e	Scope 2 Emissions (market-based) 34,351 tCO₂e	Renewable Electricity (India ops) 81.8%
Wastewater Recycled 100%	Green-Certified Office Area 84%	Net Zero Target 2040

FY24 SCOPE 2	FY25 SCOPE 2	WHY IT CHANGED	IMPLICATION
~42,000 tCO ₂ e	34,351 tCO ₂ e	Renewable expansion	Lower operational carbon risk

ANALYST READ, NOT JUST THE NUMBER

- Renewable electricity surpassed 80% for the first time, ahead of most domestic IT peers still climbing toward that mark.
- Six straight years of carbon neutrality, plus a tightened Vision 2030 target (90% Scope 1+2 cut, 40% Scope 3 cut), shows the company treating its baseline as a floor, not a ceiling.

WHY THIS MATTERS

Lower operational emissions cut exposure to future carbon-pricing costs and signal the easy wins are largely done, supply-chain emissions are the harder work ahead.

🕒 IF THIS TREND CONTINUES

At its recent pace of 4–5 points a year, renewable electricity could near-fully displace grid power well before 2030, shifting the spotlight to Scope 3 as the real test of the climate target.

Evidence: Infosys ESG Report FY24-25 (Environment chapter); BRSR Principle 6 disclosures.

💡 ONE THING THAT SURPRISED ME

Infosys has held carbon-neutral status for six straight years, yet Scope 3, the layer it controls least, is the one metric standing between "neutral" and its 2030 climate-positive ambition.

👥 Social Analysis

SECTION 03

Women in Workforce ~39%	Women on Board 22.2%	Employee Base ~3.17 lakh
"Best Cos. for Women in India" 7th yr running	Ethisphere "World's Most Ethical" 5th yr running	CSR Focus Areas Skilling, Rural Dev.

ANALYST READ, NOT JUST THE NUMBER

- A ~17-point gap between workforce-level (~39%) and board-level (22.2%) female representation shows diversity gains are concentrated below the governance layer.
- Repeat "Most Ethical Company" recognition points to a genuine culture strength, harder for peers to replicate than a one-off target.

WHY THIS MATTERS

Workforce diversity supports talent-pipeline resilience in a tight labor market; the board-level gap matters because that layer sets policy, not just implements it.

Evidence: Infosys ESG Report FY24-25 (Social chapter); BRSR Principle 3 disclosures; Infosys corporate recognitions page.

Governance Analysis

SECTION 04

Board Independence Majority independent	Female Directors 22.2%	Chairman–CEO Separation Yes
ESG / Sustainability Oversight Board-level	Anti-Bribery / Anti-Corruption Policy Yes	Whistleblower Policy Yes

ANALYST READ, NOT JUST THE NUMBER

- A non-executive independent chairman, separate from the CEO & MD role, with independent directors chairing audit, risk and sustainability committees, a structurally conservative setup that reduces key-man risk.
- Board gender diversity (22.2%) is modest relative to the rest of the framework, the one place governance form outpaces governance composition.

WHY THIS MATTERS

Strong governance lowers long-term operational and reputational risk, making future earnings more predictable and reducing the cost of capital.

Evidence: Infosys Integrated Annual Report FY2025 (Board & Governance section); BRSR Principle 1 disclosures.

Materiality Assessment

SECTION 05

ISSUE	MATERIALITY
Cybersecurity	★★★★★
AI Governance	★★★★★
Data Privacy	★★★★★
Employee Retention	★★★★☆
Scope 3 Emissions	★★★★☆
Water Use	★★★☆☆

WHY THIS MATTERS

ESG isn't generic, for a people-and-data business, cybersecurity, AI governance and data privacy are the issues that could actually move enterprise value. Water use, a headline issue for manufacturing, is low-materiality here.

✓ KPI Achievement Tracker

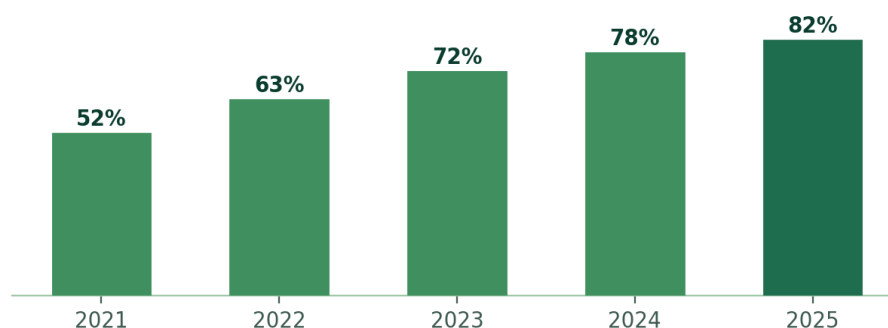
SECTION 06

GOAL	PROGRESS	NOTE
Net Zero 2040	☐ On Track	Consistent with roadmap
Scope 1 Reduction	☐ Ahead	Outpacing baseline
Scope 3 Reduction	☐ Moderate Risk	Least controllable lever
Wastewater Recycling	☐ Achieved	100% target met
Renewable Energy	☐ Ahead	81.8% vs. multi-year plan

📈 Trends & Milestones

SECTION 07

Renewable Electricity — 5-Year Trend



YEAR	MILESTONE
2019–20	Carbon-neutral status achieved
2021	Climate-positive-by-2030 vision announced
2023	Responsible AI / AI governance framework introduced
2025	Vision 2030 emissions targets revised upward

Five-year renewable-electricity series is directional, reconstructed from disclosed year-on-year progress; treat as trend illustration rather than an audited restatement.

ESG Heatmap

SECTION 08

ISSUE	RISK	OPPORTUNITY
Carbon	□	□
Cybersecurity	●	□
AI Governance	□	□
Diversity	□	□
Water	□	□

ESG Risks & Red Flags

SECTION 09

RISK	DESCRIPTION
Data Privacy & AI Governance	Heavy exposure to client data and rapid gen-AI adoption raises data-handling and model-governance risk.
Talent Retention	IT services margins depend on utilization; attrition swings affect delivery cost and client continuity.
Scope 3 Concentration	Travel, commute and supply-chain emissions sit outside direct operational control, the hardest 2030 target.
Cybersecurity	A breach at Infosys carries downstream risk for client operations, not just its own.
Global Regulatory Exposure	Shifting AI, data-localization and labor regulation across geographies can raise compliance cost.
Automation of Own Workforce	AI-led productivity gains reducing entry-level hiring could tension with the skilling narrative.

□ Scope 3 dependency □ Board diversity below workforce diversity □ Strong disclosure □ Stable governance

□ ESG SWOT

SECTION 10

CATEGORY	ASSESSMENT
Strength	Mature, independent governance framework with board-level ESG oversight.
Weakness	Scope 3 emissions and board gender diversity trail the rest of the ESG profile.
Opportunity	Rising client demand for "green AI" and sustainable-by-design digital services.
Threat	Tightening AI and data-localization regulation across key export markets.

Stakeholder Impact

SECTION 11

STAKEHOLDER	PRIMARY IMPACT
Investors	Lower governance risk
Employees	Strong learning ecosystem
Communities	CSR & rural-development spend
Customers	Better cybersecurity posture
Suppliers	Pressure to cut emissions

★ Investment Perspective

SECTION 12

ESG STRENGTHS

- Mature governance framework
- Long-term, tightening climate targets
- Strong, assured disclosure quality

ESG CONCERNS

- Scope 3 emissions trajectory
- Board-level gender diversity
- Supplier sustainability oversight

OVERALL VIEW

Infosys demonstrates strong ESG maturity with above-average governance and transparent reporting. The next stage of ESG leadership will depend on execution of supplier decarbonization rather than additional climate commitments.

IF I WERE CHIEF SUSTAINABILITY OFFICER...

"I would prioritize supplier engagement and annual Scope 3 disclosure before introducing any new climate commitments, the credibility gap right now is in execution, not ambition."

QUESTIONS I'D ASK MANAGEMENT

1. How will supplier emissions be reduced, and on what timeline?
2. How are AI-related risks monitored at the board level?
3. Is board gender diversity expected to increase, and by when?
4. Will Scope 3 progress be reported annually against the 2030 target?

🚀 ESG Momentum Score

SECTION 13

AREA	STATUS	MOMENTUM
Environment	Strong	↑ High
Social	Moderate	→ Stable
Governance	Strong	↑ Improving

8.8 / 10 Strong target progression and disclosure improvements suggest ESG performance is still improving rather than plateauing.

📐 Global Framework Alignment

SECTION 14

FRAMEWORK	STATUS
GRI	✓ Aligned
BRSR	✓ Aligned

FRAMEWORK	STATUS
TCFD	☐ Partial
ISSB	☐ Emerging
CDP	☒ Reported

4.5 / 5 Disclosure Maturity : comprehensive alignment to established frameworks; TCFD and ISSB adoption still maturing, in line with the broader sector.

Data Quality Score

SECTION 15

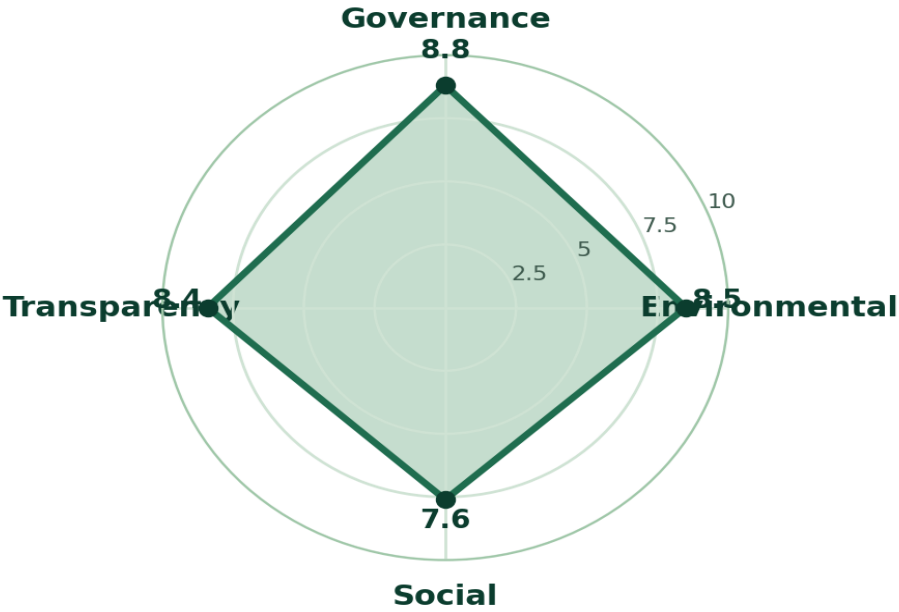
SECTION	CONFIDENCE	REASON
Environmental	★★★★★	Third-party assured
Social	★★★★☆	Some metrics estimated
Governance	★★★★★	Fully disclosed

ESG Scorecard — In-House Rating

SECTION 16

PILLAR	PERFORMANCE	TARGETS	YOY IMPROVEMENT	DISCLOSURE
Environmental	40%	30%	20%	10%
Social	40%	30%	20%	10%
Governance	40%	30%	20%	10%
Transparency	Standards 35%	Granularity 35%	Assurance 30%	—

Environmental		8.5 / 10
Social		7.6 / 10
Governance		8.8 / 10
Transparency		8.4 / 10
Overall		8.3 / 10



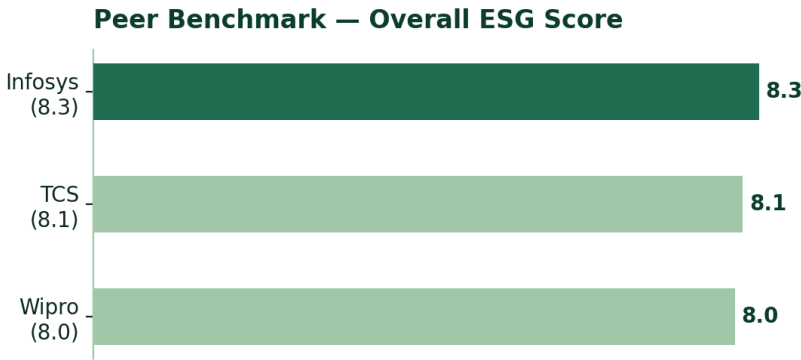
Pillar profile at a glance: the shape leans toward Governance and Environmental, board structure and climate commitments are ahead of social-disclosure depth.

Confidence: High (92%) Complete BRSR • Detailed GRI mapping • Third-party assurance • Multi-year historical data available

Methodology: each pillar is scored on performance, ambition of targets, year-over-year momentum, and disclosure quality, not benchmarked against MSCI, Sustainalytics, or any third-party rating agency.

 Peer Benchmark & Industry Ranking

SECTION 17



RANK	COMPANY	ENVIRONMENTAL	SOCIAL	GOVERNANCE	TRANSPARENCY	OVERALL
3	Wipro	8.0	7.7	7.9	8.5	8.0
2	TCS	8.4	7.3	8.1	8.6	8.1
1	Infosys	8.5	7.6	8.8	8.4	8.3

WHAT CHANGED FROM THE EARLIER DIRECTIONAL ESTIMATE

- TCS now edges out Wipro (8.1 vs. 8.0), in the earlier estimate, Wipro was placed second. Reading the primary reports directly reversed that order.
- Wipro's board is more independent by ratio (66.7% vs. Infosys's majority) but its Chairman is an executive, promoter-family Chairman, not independent, a real structural difference from Infosys's non-executive independent chair.
- TCS already delivered an 84% absolute Scope 1+2 emissions cut (vs. its FY2016 baseline), a stronger achieved result than either peer's forward-looking target. The earlier estimate had mistakenly attributed this 84% figure to Wipro.
- TCS's workforce gender-diversity percentage could not be located in the primary source reviewed, scored as a disclosure gap, not assumed to be zero.

METHODOLOGY

All three companies are now scored pillar-by-pillar on the same weighted rubric (Section 16) using data read directly from each company's own FY2024-25 primary report: Infosys ESG Report/BRSR, Wipro Sustainability Report FY2024-25, and TCS Integrated Annual Report FY2024-25. Scores remain analyst judgment applied consistently, not a mechanical roll-up of pre-published sub-component numbers, since none of the three companies publishes those.

**Analyst's Verdict**

SECTION 18



VERDICT

Strong Performer

RISK LEVEL

Low–Moderate

DISCLOSURE QUALITY

Excellent

INDUSTRY POSITION

1st of 3 Peers Reviewed**ESG Outlook — Next 12 Months**

SECTION 19

BULLISH FACTORS

- Renewable energy expansion
- AI governance investment
- Consistent carbon-neutral record

WATCH CLOSELY

- Scope 3 emissions trajectory
- Board diversity progression
- Talent-retention trends

POTENTIAL CATALYST

- Better supplier engagement
- Annual Scope 3 disclosure
- Expanded green-AI services

Primary sources: Infosys ESG Report FY2024–25, Infosys Integrated Annual Report FY2025, Business Responsibility & Sustainability Report (BRSR), and Infosys corporate ESG disclosures. Peer references: Wipro Sustainability Report FY2024-25 ("Creating Shared Value"); TCS Integrated Annual Report FY2024-25.

Figures marked "~" are best-available public estimates compiled from company disclosures and reputable secondary sources; not sourced from any paid ESG database. Evidence citations reference report chapters and BRSR principles, not specific page numbers. Independent verification is recommended before use in investment or academic work. This report is analyst-style commentary, not investment advice.